

Also, when valuing on business KPIs, the quality of KPIs will vary which will lead to differences in valuation. For example, if a recent transaction values a company at 10\$ per user, but for that company the user was spending 30 minutes. However, for your company, the user is only spending 10 minutes per user, the value will be lower than \$10 per user for you.

Thus the quality of KPI is also matter and lead to differences in valuations. Thus, you need to compare the KPIs valuation based on that metric and the quality of those KPIs. These are the very company specific factors and cannot be generalised.

Ultimately, to find the valuation of your company using industry metrics, you must:



Identify the most important industry metric



Find recent deals in your space to find the valuations.



Multiply these two values to arrive at valuation for your company.

A value obtained by such logic and reason can be justified and explained well to a potential investors.

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